Late polling surge raises Democrats' odds of flipping the Senate

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summary

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A late polling surge has lifted EG's odds that Democrats will flip the Senate in the 3 November US midterms to 65% from 60%; even with the possibility of a 2024-style polling bias, Democrats' leads are large enough that they would win 51 seats.
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Ian Bremmer argues that recent elections in Latin America, Serbia and Hungary reflect a durable global wave of anti-incumbency, not a swing to the left or the right.
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Brazilian President Luiz Inacio Lula da Silva's administration will likely announce a fiscal course correction in 2026 before the new congress takes office; his picks for finance minister and chief of staff will be the main signals to markets.
*
Record-high US copper stockpiles will likely restrain US prices and tariffs.
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Countries and sectors in this edition of the Daily Brief include the US, Brazil, China, Colombia, Germany, Indonesia, Malaysia, the Philippines, Singapore, Thailand, Vietnam, energy, geoeconomics, geo-technology, sustainability and trade.

the top line

US—Late polling surge lifts Democrats' odds of flipping the Senate to 65%

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Last week was a very good week for the Democrats in Senate polling, prompting EG to raise the odds of Democrats flipping the chamber in Tuesday's midterms to 65% (from 60%). Yesterday's New York Times/Siena College polls are the latest indication that tomorrow night should be very good for Democrats, barring a significant polling error.
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Democrats are shoring up their “blue wall” states of Michigan, Minnesota, and New Hampshire, and are holding onto leads in at least six Republican-held seats, of which they need four to win a Senate majority.

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Even with the possibility of a 2024-style polling bias, overstating Democrats by about three points on average, Democrats’ leads are large enough that they would win 51 seats. If polls on average perform as they did in the last two midterm cycles, the margin will be much more comfortable.

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Meanwhile, Republicans are getting no relief on the macro front. Democrats’ lead in the generic ballot remains around nine points; a recent Republican recovery in vote share has been almost entirely offset by a surge for Democrats as well, while President Donald Trump’s approval remains in the 37% range.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

US, Geoeconomics—Investors see US-Iran escalation risk as the biggest market impact from midterms

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Investors continue to view the prospect of US-Iran escalation as the key driver of risks to markets after the midterms.

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Market participants are pricing a higher risk of large moves in oil prices this week relative to recent history. The higher risk premium attached to oil prices is consistent with EG's view that US-Iran escalation is likely after the midterms (65% odds, read more here).

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Expected moves in bond yields and other asset classes are only modestly higher than moves in the last three months. This seems broadly consistent with EG's expectation that a likely Democratic sweep would bring only limited changes in policy direction (read more here).

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Reach out to discuss: geoeconomics@eurasiagroup.net .

EG Update—Ian Bremmer on elections, elections, elections

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Lessons from recent elections: The critical factor is high inflation and affordability driving anti-incumbent voter sentiment. On top of that, perceptions of corruption have combined with the economy not working for typical voters in a mutually reinforcing feedback loop. This isn't (and hasn't been) a right or a left-wing trend.

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Brazil: expect a very short honeymoon for Lula. Lula's immediate response will be to try to engage in fiscal restraint, to reach out to legislative leadership for compromise, and to appoint economic leadership that's seen as more moderate. But none of that will prove sufficient to avoid a significantly more challenging domestic political environment. Brazil's political institutions are experiencing a crisis of legitimacy. However, ongoing trade, critical mineral, and security relations shouldn't change.

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Israel: at a minimum, it's going to be weeks or months of horse-trading, either to seat a government, or to fail and call another election to try for a more definitive result. The near-term challenge is Benjamin Netanyahu as caretaker prime minister, when the US is preparing another round of strikes on

Iran. There is a non-negligible risk that Netanyahu could push escalation beyond what Washington wants.

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US midterms: Ian sees Democrats gaining more than 20 House seats and ending up with 51–53 Senate seats. If that's wrong, he suspects it's because it's too cautious, given collapsing enthusiasm among Trump's base. Trump will not overturn the result, though he may not accept it.

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Read more here .

Brazil—Lula likely to begin fiscal adjustment in 2026

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The Lula administration will likely announce a course correction on fiscal policy in 2026 to strengthen the starting point for 2027, before the new congress assumes office in February.

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Officials close to the economic team target a 1.5% of GDP improvement in the primary balance over the next term. Lula will likely pursue the adjustment through a constitutional amendment to curb mandatory spending and tighten the fiscal framework. Campaign promises will tighten fiscal room and increase the need for credible offsetting measures.

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Lula's finance minister and chief of staff picks will be the main signals to the market. Piaui Governor Rafael Fonteles and Vice President Geraldo Alckmin are roughly tied for Finance, while for chief of staff, Fernando Haddad would send a stronger signal than Camilo Santana. A Haddad-Alckmin combination would send the clearest market-friendly signal. Lula is likely to announce his picks only by the end of November or early December.

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Read more here and here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Southeast Asia, Geo-technology—ASEAN governments will tighten rules for new data centers

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Pressure on water and power supplies, along with doubts about the economic benefits, has sparked protests in Indonesia, Malaysia, and the Philippines.

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ASEAN governments will favor selective restrictions over blanket moratoriums to protect investment and AI ambitions, with likely measures including stronger environmental requirements and conditions to boost local economic benefits.

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Singapore will tighten most, followed by Malaysia, Thailand, and Indonesia, while Vietnam and the Philippines focus on growing their smaller industries.

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Read more here . Reach out to discuss: southeastasia@eurasiagroup.net .

US, Copper, Trade—Record stockpiles will restrain US copper prices and tariffs

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US copper stockpiles have climbed to historic highs even as prices have soared to records, pointing to a pullback in US prices in the coming months. Importers and other buyers have sent large volumes of copper into US warehouses to front-run potential tariff increases.

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Some analysts expect that a likely Republican defeat in the US midterms would leave Trump unrestrained by electoral politics and unconcerned about higher consumer prices, prompting him to pursue higher tariffs. But while maximum tariffs and higher prices are a risk, they remain the least likely outcome. Other factors still restrain Trump on copper, especially the damage higher tariffs might do to US defense and tech sectors that rely on it for equipment and new electric power capacity.

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The White House is more likely to punt on higher levies indefinitely, exercising its right to ignore a January deadline on tariffs recommended in last year's Section 232 investigation.

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Read more here . Reach out to discuss: ecr@eurasiagroup.net .

upcoming conference calls

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4 November 10:00 AM ET—US election update. Register here .

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5 November 8:00 PM ET—Implications of the US midterms. Register here .

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6 November 9:00 AM ET—Local South Africa government elections and political implications looking to 2029. Register here .

eg in brief

Colombia—De la Espriella likely to pass most of his fiscal overhaul: President Abelardo De la Espriella's administration submitted its "economic rescue" bill to Congress on 29 October. The bill pairs the spending cuts he campaigned on with tax hikes he had pledged to avoid. According to the administration, the measures would improve the primary balance by 2.4% of GDP next year and by 4.1% of GDP by 2030. Parties from the center to the far right appear willing to cooperate early in his term, so the administration will likely win enough support to pass most of the package. Even so, backlash will probably dilute or derail several unpopular measures, such as a higher VAT on some products and a lower personal income tax threshold, ahead of next year's local elections. Opposition groups are already calling for protests in November. The bill marks the administration's first major step toward its promised fiscal adjustment and should help ongoing talks with the IMF on an arrangement. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Sustainability—Resilience replaces labels in sustainable finance: Responsible investors will increasingly judge assets on their contribution to resilience, security, and financial outcomes rather than on sustainability labels. Greenwashing concerns and political backlash, particularly in the US, have increased scrutiny of sustainability-labeled products, and resilience is gaining traction as a broader, less politically charged framing of sustainability. Asia and Europe are likely to adopt different approaches to

sustainable finance requirements, with Asia favoring pragmatism and flexibility while Europe maintains a more prescriptive and stringent model. Read more here . Reach out to discuss: sustainability@eurasiagroup.net .

China, Geo-technology—China's cautious AI safety approach falls short of global leadership: After a week in Beijing, Geo-technology Director Xiaomeng Lu finds that China cannot yet claim global leadership in AI safety as the US steps back. A mandatory national standard on AI agents proposed by China's cybersecurity standards body focuses primarily on practical rules for how agents coexist and interact, giving limited attention to frontier risks such as loss of control, cyberattacks, and criminal misuse. Beijing appears to favor practical rules to facilitate deployment of the technology while keeping an eye on broader safety concerns. That deployment-focused approach is unlikely to satisfy a global audience focused on safety. Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

China, Energy—Beijing likely to approve export controls on solar manufacturing equipment: On 16 October, China's Ministry of Commerce (MOFCOM) proposed new export restrictions on solar and polysilicon manufacturing equipment, alongside AI and biotech. Unlike a similar proposal roughly three years ago, the provisions are unlikely to be rolled back, as MOFCOM's influence is rising and the Chinese solar industry's influence is declining. The proposal specifically targets perovskite and tandem cell technologies as fully prohibited for export, while current-generation equipment is only restricted, showing a growing split in Chinese policy toward next-generation and current-generation cleantech. MOFCOM's framing of solar alongside AI and biotech suggests that solar tech is moving closer to the strategic sensitivity of batteries, particularly with respect to new overseas investments by Chinese manufacturers. Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Germany, Energy—Germany secures gas to get through the coming winter: Germany has secured €245 million ($274 million) of additional natural gas supplies for the high-demand winter heating season, which officially started on 1 November and lasts until 31 March 2027. The purchases for late winter will ensure Germany has enough gas for the entire heating season despite low inventory levels. Stored gas is enough to cover roughly one month of peak winter demand. Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Upcoming events:

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2 November: Events: Apple earnings; Data: US construction spending and ISM manufacturing.

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3 November: Events: US midterm elections and US Treasury refunding plans; Data: Hong Kong GDP, Turkey CPI, and US JOLTS job openings; Central bank decision: Australia.

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4 November: Data: US trade and S&P services PMI; Central bank decisions: Brazil, Poland, and Sweden.

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5 November: Data: Brazil industrial production and Eurozone PPI; Central bank decisions: Czechia, Malaysia, Mexico, Norway, and UK.

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6 November: Data: Germany industrial production, US unemployment, nonfarm payrolls, and UMich consumer sentiment.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

“We are very confident that... the second round will be more dangerous, more destructive and it will lead to nowhere.”—Egyptian Foreign Minister Badr Abdelatty said on Saturday regarding the risk of US-Iran escalation after the US midterms.

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